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HILTON HONORS

VIRTUAL CONCIERGE

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Background

Why are we here?

- Travelers are tired of the hassle that comes with planning and enjoying their trips

“Take the headache out of travel”

Business Case

Initial Focus

Where are we starting?

- This matches the company’s goal of increasing revenue through concierge services.
- Guests face inconveniences and Staff are a limited resource better realigned.
  - Nearly 45% of hotel operators reported staffing shortages for handling "analog" requests in 2025/2026.
  - Historically, hospitality prioritized "face-to-face" interaction. 2026 data shows 64% of travelers enjoy "contactless" and "instant" services.
- Research suggests guests who use in-app ordering spend up to 30% more than those who don't.
- **To maintain our position as the digital leader in hospitality, let’s make the move to a virtual concierge model.**

Opportunity

What's the problem?

- **The company would like to generate more revenue through virtual concierge services.** Users need to have tools to increase their satisfaction. This is a huge problem market wise - **we must offer more to make more.**
- Data from IRIS, a leading mobile F&B provider, shows that hotels using mobile ordering platforms see a 20% to 42% increase in average food and beverage revenue.[1]
- The global concierge services market is valued at $1.17 Billion in 2026, with the corporate and "HoReCa" (Hotel/Restaurant/Cafe) segments accounting for over 84% of that total.[2]
- 73% of hotel guests in 2025/2026 state they are "more likely to stay in a hotel that offers self-service technology" (like digital concierge and in-app ordering).[3]

Proposal

What's our solution?

- The **virtual concierge feature** will be integrated into the pre-existing Hilton Honors app.
- It allows the user to **easily plan and book activities** for their trips.
- By **empowering users** with this feature, stress and inconvenience are significantly reduced.
- **Satisfied users tend to travel more often, which can generate more revenue into the traveling and hospitality business.**

Return On Investment

What can we do?

- These features could cost tens - hundreds of millions to implement and maintain though a high ROI is likely.
- Hypothetically: Charge 92% (travelers) of 348M americans flat $550/yr = ~ $176.1 billion (TAM) and initially invest ~ $50M.
- **Capturing just 1% of the $176.1 Billion Total Addressable Market (TAM)** — **ROI = ~2,420%** * Calculation: (($1.26B Profit – $50M Investment) / $50M Investment) x 100 **= $1.26 Billion/yr**

Measurement

How will we know if we're successful?

- Success looks like **positive feedback per trip / booking** and **revenue increase for services / partners.**
- Our goal for the **first year** is to see **ROI** and **significant increase / steady retention of users.**

Competitors

Marriott Bonvoy

E.G. Largest loyalty program globally

- **Global travel** platform for 30+ brands, including the new Outdoor Collection for **nature-focused stays**.
  - Direct Site, iOS App Store, Google Play.
- **AI-powered trip planning** (new for 2026), **mobile check-in**, and Marriott Bonvoy Moments (**exclusive event access**).
- The largest global footprint (9,600+ properties) and **unique "1 Point Drops" for festival experiences.**
  - Frequent international travelers and "lifestyle" seekers who value brand variety and luxury.
- Free to join; points valued at ~0.8¢; paid "Buy Points" promotions often offer 40% bonuses.
- **Membership grew to nearly 271 million by the end of 2025, adding over 40 million members.**[1]

World of Hyatt

E.G. High-tier elite perks and luxury/lifestyle focus

- **High-touch loyalty** app for 1,400+ properties, prioritizing **luxury and premium boutique brands.**
  - Direct Site, iOS App Store, Google Play.
- **Digital points sharing** (new for 2026) and Early Access to **award nights for elite** members.
- A strict Award Chart with fixed thresholds (unlike competitors' dynamic pricing), even after expanding to 5 pricing bands in May 2026.
  - Loyalty "enthusiasts" who **maximize point value** and prioritize **high-end service.**
- Free to join; points valued highest at ~1.8¢–2.1¢; top-tier Category 8 rooms cost up to 55,000 points.
- **World of Hyatt ended 2025 with 63 million members.**[1]

Choice Privileges

E.G. High density in the U.S. market

- App focused on **7,000+ value-driven and midscale hotels** like **Comfort and Quality Inn.**
  - Direct Site, iOS App Store, Google Play.
- "Your Extras" for **mid-week stay rewards (e.g., Amazon gift cards)** and **rapid point earning.**
- Often **ranked #1 for reward value** by third parties due to how **quickly members earn free nights.**
  - **Domestic road-trippers and practical travelers** who care less about luxury and more about free nights.
- Free to join; points valued at ~0.8¢.
- The program **reached 74 million members as of December 31, 2026**, a significant increase from **44 million in 2019.**[1]
  - **Holds a 5.6% U.S. hotel revenue share, ranking fourth in the industry and global revenue share ~1.6%**.

Our Advantages

Why are we better?

- We allow guests to request room service, book spa treatments & activities, make dining reservations and get personalized recommendations for local attractions.
- **Instant status through multiple credit cards and the newly launched Diamond Reserve tier for ultra-high spenders** ($18k+ annual spend).
- Luxury travelers seeking the most accessible path to elite perks
- Free to join; points valued at ~0.5¢; elite status accessible via credit cards with fees from $0 to $550.
- **Luxury is attainable for all and the users steer the trip.**

Roadmap and Vision

Roadmap Pillars

Where do we go from here?

- **Hilton Honors becomes a powerhouse for seamless virtual concierge that anticipates the needs of users and places them at the helm of their itinerary unlike any other service on the market.**
- Zoom out: users are happily making the decisions, limited staff make stronger effort towards other business functions and thus the company overall can generate more revenue from discovered savings on top of ROI.
- Three themes to explore: **Frictionless Bookings, Hyper-Personalized Local Discovery, and Operational Staff Empowerment.**

Frictionless Bookings

User Power

- **Easy dining and room service.**
  - The user doesn't need to wait or speak to anyone because they **make reservations / place orders when they want and dine where they desire (in restaurant or room).**
- **Schedule appointments for spa and other activities without hassle.**
  - The user only needs to **select their activity and pay** - end of story (no calls, in-person scheduling, or "trying" to complete a long process).

Hyper-Personalized Local Discovery

A Big Plus For User

- **Suggest popular attractions in the area.**
  - There is always the option to rely on suggestions **based on user activities**, so there is **always something to do that they may like (no stress - just pick).**
- **Suggest onsite activities.**
  - Also **based on previous user activities** - restaurants, spa treatments and more is **readily available.**

Operational Staff Empowerment

Bigger Business Bonus

- **Allow user to place order and make reservations.**
  - All information needed to complete the order / set reservation (menu, pricing, business hours, the user's exact requests, etc) is taken care of so the **staff only need to prepare or communicate changes (through app or direct contact).**
  - **Staff** can use time and resources for better serving customers even **at limited capacity (manageable workload + smooth operation).**
- **Book treatments as they please.**
  - **User can just show up to the spa**, check in with staff and receive their services.
  - **Staff can anticipate** for the amount of customers and the services easily.

Where Do We Go From Here?

Widening the scope

- **This app can serve a wide variety of users (e.g Business Travelers, Personal Assistants, Families and Solo Travelers).**
- Next, we appeal more to these groups in specific ways.
- Some ambitious goals would be:
  - Becoming the **#1 CHOSEN tool for business** travelers and their assistants.
  - **Offer new ways for the users to take control of their trip.**

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